August 2023

- **35-40% of proposed sale structures involve seller carryback** thus far in the third quarter. Buyers continue to demand seller carryback when sellers have higher pricing expectations. Acquisitions can't support high-leverage market rate debt as interest rates have climbed by ~70% over one year ago. Recent transactions indicate anywhere from 10% seller carryback for performing facilities, to 75% for nonperforming assets in which the market can't provide any serviceable third-party financing. In these situations, seller carryback will exist as the only collateralized debt source on the property. These high-leverage seller carryback transactions are driven by the seller's desire to exit operations, oftentimes for personal reasons. If financing options are severely limited for buyers, a seller would prefer to gain some proceeds (via the buyer's down payment) as opposed to leasing out their community and receiving no lump sum up front.
- Asset sales that offer assumable debt (typically HUD) with interest rates between 2.9% – 4.0% and at 65%+ leverage basis are receiving a **9-11% pricing premium** in the market.
- Sponsors are needing equity/cash injections to afford themselves longer time to lease-up their senior communities. Typically, these are properties that opened during COVID and faced severe cost overruns through higher material/labor costs and project delays. Projects which received their Certificate of Occupancy post June 2020 faced a **25-28%** increase in total development costs. There is a lessening population of investors and lenders who are offering a lifeline to these groups. Marketing this equity contribution can come at a serious cost for the sponsor if a project is distressed. Oftentimes with the equity source requiring **1.75– 2.25x** return on their capital and sometimes needing managerial control of the operating entity. If they can't secure this, they may settle for veto privileges or the right to accelerate a sale on the asset.
- It's becoming more common to see passive investors step back into their assets and remove their contracted managers/operators. We have seen a handful of investor groups learn the business themselves as their managers have failed to increase occupancy and meet performance targets.
- For turnaround opportunities, buyers are projecting a longer timeframe required to stabilize the community than on a pre-COVID basis. A typical projected turnaround time may have been 6-9 months, but is now **12-18 months**. This is affecting valuations as the buyer needs a lesser purchase price to offset their negative cashflow in the initial holding years.
- The government is issuing most ERC funds for providers now via their amended payroll returns. Roughly 80% of the ERC funds applied for have been issued so far. This has provided a 6-9 month lifeline to keep underperforming operations going. Most of these providers would rather use this time to roll the dice and see if their market occupancy improves as opposed to selling at a severe discount.

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